



## **PROJECT COST MANAGEMENT PLAN TEMPLATE**

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### **COST MANAGEMENT PLAN DOST STARBOOKS: WHIZ CHALLENGE**

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## INTRODUCTION

The Project Manager will be responsible for managing and reporting on the project's cost throughout the duration of the STARBOOKS Whiz Challenge project. During monthly project status meetings, the Project Manager will meet with the project group and DOST-STII stakeholders to present and review cost performance for the preceding month. Performance will be measured using Earned Value Management (EVM). The Project Manager is responsible for accounting for cost deviations and presenting the Project Sponsor with options for getting the project back on budget. The Project Sponsor (DOST-STII) has the authority to make changes to the project to bring it back within budget.

## COST MANAGEMENT APPROACH

Costs for the STARBOOKS Whiz Challenge project will be managed at each phase, corresponding to the five defined project phases: Initiation, Planning, Executing, Monitoring and Controlling, and Closing. Each phase functions as a Control Account (CA), under which both unit costs (materials, subscriptions, food, transportation, and miscellaneous) and labor costs are tracked.

The project uses OpenProject as its Project Management Information System (PMIS), which enables cost tracking down to the individual work package and task level. All labor hours and expenditures are logged directly against their corresponding work packages within the system, ensuring granular visibility into actual spending.

Labor cost estimates are based on a standard rate of PHP 500.00 per hour per team member, applied consistently across all phases and team contributors. Credit for completed work packages is assigned using the 50/50 rule: a work package earns 50% credit upon commencement and the remaining 50% upon full completion of all defined deliverables within that package. Costs may be rounded to the nearest peso and hours to the nearest whole hour. A CPI or SPI variance of  $\pm 0.1$  places the affected cost account in a cautionary (yellow) status. A variance of  $\pm 0.2$  or greater triggers an alert (red) status, requiring documented corrective action from the Project Manager and formal approval from the Project Sponsor (DOST-STII) before any changes are implemented.

## MEASURING PROJECT COSTS

Project costs for the STARBOOKS Whiz Challenge are measured using Earned Value Management (EVM), in accordance with PMBOK guidelines. EVM provides a structured and quantitative approach to assessing both schedule and cost performance, enabling the Project



Manager to determine whether the project is progressing as planned relative to the approved budget.

Cost data is captured and tracked using OpenProject. All labor hours and unit expenditures are logged at the work package level, including Work Package #15 – Co-working Space (Hourly), which is matched directly to actual time spent by the team. All four team members are assigned a standard rate of PHP 500.00 per hour.

EVM metrics are computed using the following baseline values established for the project:

Budgeted Cost of Work (BAC) = **PHP 100,000.00**

Planned % Complete = **100%**

Actual % Complete = **100%**

Planned Value (PV) = BAC × Planned % Complete = PHP 100,000.00 × 100% = **PHP 100,000.00**

Earned Value (EV) = BAC × Actual % Complete = PHP 100,000.00 × 100% = **PHP 100,000.00**

Actual Cost (AC) = **PHP 63,000.00**

The following four Earned Value metrics are captured and reported at the end of each sprint:

### 1. Schedule Variance (SV)

Schedule Variance is a measurement of the schedule performance for a project. It is calculated by taking the Earned Value (EV) and subtracting the Planned Value (PV). Since EV is the actual value earned in the project and PV is the value the project plan says should have been earned at this point, subtracting what was planned from the actual gives a clear indication of whether the project is ahead of or behind the baseline schedule. If SV equals zero, the project is exactly on schedule. If SV is greater than zero, the project is earning more value than planned, meaning it is ahead of schedule. If SV is less than zero, the project is earning less value than planned, meaning it is behind schedule.

For the current sprint:

EV = **PHP 100,000.00**

PV = **PHP 100,000.00**

SV = EV – PV = PHP 100,000.00 – PHP 100,000.00 = **PHP 0.00**

An SV of PHP 0.00 confirms the project is performing exactly on schedule. All planned work has been completed as intended within the measurement period.



## 2. Cost Variance (CV)

Cost Variance is a measurement of budget performance for a project. CV is calculated by subtracting Actual Costs (AC) from Earned Value (EV). EV is the actual value earned in the project, while AC is the actual costs incurred to date. Subtracting actual costs from earned value reveals whether the project is above or below budget. If CV equals zero, the project is perfectly on budget. If CV is greater than zero, the project is earning more value than it is spending, meaning it is under budget. If CV is less than zero, the project is spending more than the value it is earning, meaning it is over budget.

For the current sprint, AC is composed of the following:

EV = PHP 100,000.00

AC = PHP 63,000.00

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CV = EV – AC = **PHP 100,000.00 – PHP 63,000.00 = +PHP 37,000.00**

The positive CV of +PHP 37,000.00 confirms that the project is significantly under budget. The team delivered the full planned scope of work at PHP 37,000.00 less than the budgeted cost.

## 3. Schedule Performance Index (SPI)

The Schedule Performance Index measures the progress achieved against what was planned. SPI is calculated as EV divided by PV. If EV is equal to PV, the SPI is 1.0, meaning the project is exactly on schedule. If EV is less than PV, the SPI falls below 1.0, indicating the project is behind schedule. If EV is greater than PV, the SPI is above 1.0, indicating the project is ahead of schedule. A well-performing project should have its SPI as close to 1.0 as possible.

For the current sprint:

EV = PHP 100,000.00

PV = PHP 100,000.00

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SPI = EV ÷ PV = **PHP 100,000.00 ÷ PHP 100,000.00 = 1.000**

An SPI of exactly 1.000 represents perfect schedule performance. The project has completed 100% of its planned work within the planned timeframe, sitting firmly in the green threshold.

## 4. Cost Performance Index (CPI)

It measures the value of the work completed compared to the actual cost of the work completed. CPI is calculated as EV divided by AC. If CPI equals 1.0, the project is perfectly on



budget. If CPI is greater than 1.0, the project is under budget. If CPI is less than 1.0, the project is over budget.

For the current sprint:

EV = PHP 100,000.00

AC = PHP 63,000.00

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CPI = EV ÷ AC = **PHP 100,000.00 ÷ PHP 63,000.00 = 1.587**

A CPI of 1.587 indicates strong cost efficiency. For every PHP 1.00 spent, the team delivered PHP 1.587 worth of budgeted value. While this is well above the green threshold, the Project Manager should ensure the savings reflect genuine cost efficiency rather than unlogged work.

If the SPI or CPI has a variance of between 0.1 and 0.2, the Project Manager must report the reason for the exception. If the SPI or CPI has a variance greater than 0.2, the Project Manager must report the reason and provide management with a detailed corrective action plan to restore performance to acceptable levels.

| Performance Measure              | Yellow                                        | Red                                  |
|----------------------------------|-----------------------------------------------|--------------------------------------|
| Schedule Performance Index (SPI) | Between 0.9 and 0.8 or<br>Between 1.1 and 1.2 | Less Than 0.8 or Greater<br>than 1.2 |
| Cost Performance Index (CPI)     | Between 0.9 and 0.8 or<br>Between 1.1 and 1.2 | Less Than 0.8 or Greater<br>than 1.2 |

#### Sprint EVM Summary:

| Metric                       | Formula                     | Value          | Status         |
|------------------------------|-----------------------------|----------------|----------------|
| Planned Value (PV)           | BAC × Planned %<br>Complete | PHP 100,000.00 | —              |
| Earned Value (EV)            | BAC × Actual %<br>Complete  | PHP 100,000.00 | —              |
| Actual Cost (AC)             | Total costs incurred        | PHP 63,000.00  | —              |
| Cost Variance (CV)           | EV – AC                     | +PHP 37,000.00 | Under Budget   |
| Schedule Variance (SV)       | EV – PV                     | PHP 0.00       | On Schedule    |
| Cost Performance Index (CPI) | EV ÷ AC                     | 1.587          | Cost Efficient |



|                                  |              |       |             |
|----------------------------------|--------------|-------|-------------|
| Schedule Performance Index (SPI) | $EV \div PV$ | 1.000 | On Schedule |
|----------------------------------|--------------|-------|-------------|

### REPORTING FORMAT

Cost reporting will be incorporated into the Sprint Status Report, produced at the conclusion of each two-week sprint. Each report will include a dedicated “Cost Management” section containing the four EVM metrics defined in the previous section (SV, CV, SPI, CPI), a comparison of planned versus actual unit and labor costs for that sprint, and a narrative explanation of any variances observed.

All cost deviations that exceed the established thresholds will be reported upon, along with any corrective measures planned or already underway. Budget change requests triggered by cost overruns will be formally identified, documented, and tracked within each report. Sprint Status Reports will be shared with the Project Sponsor and relevant stakeholders at each sprint review, with a consolidated cost summary also presented at the end of each project phase.

### COST VARIANCE RESPONSE PROCESS

This section defines the control thresholds for the STARBOOKS Whiz Challenge project and the actions to be taken should a threshold be triggered. As part of the response process, the Project Manager presents corrective action options to the Project Sponsor, who approves an appropriate course of action to bring the project back on budget. Corrective actions may include increasing the project budget, reducing scope or quality, reallocating team hours across sprints, or other measures deemed appropriate given the nature of the variance.

The control threshold for this project is a **CPI or SPI of less than 0.8 or greater than 1.2**. Based on the current results, a CPI of **1.587** and an SPI of **1.000**, the project's schedule performance sits squarely within the green threshold. The CPI, while reflecting strong cost efficiency, falls above the 1.2 upper bound of the yellow range, which warrants a note from the Project Manager confirming that the cost savings are attributable to genuine efficiencies and not to unrecorded expenditures or incomplete work logging in OpenProject.

Should either index reach a control threshold in a future sprint, the following response process will be activated:

1. The Project Manager documents the variance in the Sprint Status Report and identifies the contributing work packages in OpenProject.
2. Within five (5) business days of the variance being reported, the Project Manager presents the Project Sponsor with viable corrective action options.



3. Within three (3) business days of the Project Sponsor selecting a corrective action, the Project Manager delivers a formal **Cost Variance Corrective Action Plan**. This plan will detail the specific actions to be taken, the projected impact on sprint and phase budgets, and the criteria by which the effectiveness of those actions will be assessed.
4. Upon acceptance, the Corrective Action Plan becomes part of the project plan, and OpenProject will be updated to reflect any revised hour allocations, task reassignments, or budget adjustments.

### COST CHANGE CONTROL PROCESS

The cost change control process for the STARBOOKS Whiz Challenge project follows the established project change request process. Any proposed modification to the approved budget, whether arising from scope of changes, additional resource requirements, sprint overruns, or corrective actions, must be submitted as a formal Change Request and reviewed by the Project Manager.

All budget and cost changes require the explicit approval of the Project Sponsor (DOST-STII) before implementation. Approved change requests will be reflected in OpenProject and documented in the subsequent Sprint Status Report. No informal or undocumented adjustments to the project budget will be recognized as valid.

### PROJECT BUDGET

The total approved budget for the STARBOOKS Whiz Challenge project is detailed below, structured across five project phases. Costs are categorized into labor costs and unit costs, covering all planned expenditures from project initiation through formal closure.

#### Budget by Cost Category:

Planned Labor Costs (all phases): **PHP 1,800,000.00**

Planned Unit Costs (all phases): **PHP 10,000.00**

**Total Project Budget: PHP 1,810,000.00**

#### Budget by Phase:

| Phase                       | Planned          | Spent          | Available      | Spent Ratio |
|-----------------------------|------------------|----------------|----------------|-------------|
| 1. Initiation               | PHP 201,000.00   | PHP 12,600.00  | PHP 188,400.00 | 6%          |
| 2. Planning                 | PHP 201,800.00   | PHP 20,000.00  | PHP 181,800.00 | 10%         |
| 3. Executing                | PHP 1,002,600.00 | PHP 343,800.00 | PHP 658,800.00 | 34%         |
| 4. Monitoring & Controlling | PHP 202,400.00   | PHP 0.00       | PHP 202,400.00 | 0%          |





|              |                             |                       |                             |            |
|--------------|-----------------------------|-----------------------|-----------------------------|------------|
| 5. Closing   | PHP 202,200.00              | PHP 0.00              | PHP 202,200.00              | 0%         |
| <b>Total</b> | <b>PHP<br/>1,810,000.00</b> | <b>PHP 376,400.00</b> | <b>PHP<br/>1,433,600.00</b> | <b>21%</b> |

**EVM Budget Baseline (Current Measurement Period):**

Budgeted Cost of Work (BAC) = PHP 100,000.00

Planned % Complete = 100%

Actual % Complete = 100%

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PV = **PHP 100,000.00** · EV = **PHP 100,000.00** · AC = **PHP 63,000.00**

CV = **+PHP 37,000.00** · SV = **PHP 0.00** · CPI = **1.587** · SPI = **1.000**

The Executing Phase carries the largest budget allocation at PHP 1,002,600.00, reflecting the full-scale development, testing, and refinement of the application across multiple sprints. The Monitoring & Controlling and Closing Phases have not yet incurred any costs, consistent with their not yet being active. Total project spending to date stands at **PHP 376,400.00**, representing approximately **21%** of the total approved budget.

**SPONSOR ACCEPTANCE**

Approved by the Project Sponsor:

  
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Marievic V. Narquita  
Information Services Section (ISS) Head of DOST-STII

Date: April 8, 2026